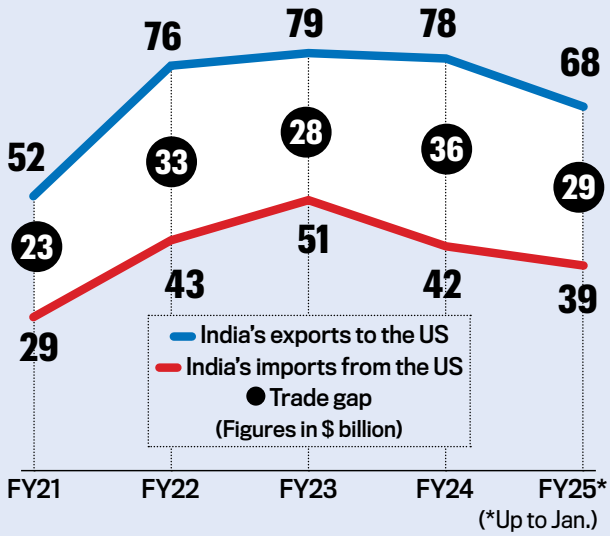
SIZE OF TRADE

India's trade with the US peaked in FY23, with exports consistently outpacing imports, and the trade gap remaining sizeable



Source: Department of Commerce

TOP TRADE ITEMS

The trade with the US in 2024 shows a diverse exchange, led by electronics, energy, pharma, machinery and precious commodities

(Figures in $ billion; 2024)

INDIA'S TOP 5 EXPORTS TO THE US

- Electronics **11.1**
- Gems and jewellery **9.9**
- Pharma products **8.1**
- Nuclear reactors, parts, machinery **6.2**
- Refined petroleum products **5.8**

INDIA'S TOP 5 IMPORTS FROM THE US

- Crude oil, natural gas, coal **13**
- Pearls, precious stones **5.2**
- Nuclear reactors, parts, machinery **3.8**
- Electronics **2.4**
- Aircraft, spacecraft and parts **2.3**

Source: Emkay Research

neering Export Promotion Council of India. "It is better to derisk from America in any case." Uncertainty looms over the gems and jewellery segment as well, whose exports to the US are worth $11.6 billion (Rs 1 lakh crore), accounting for over 30 per cent of total exports in that category, and the auto components sector, which exported goods worth $6.8 billion (Rs 58,775.8 crore) to the US, comprising 32 per cent of India's overall components exports. Exporters say the tariffs could wipe out 50 per cent of India's jewellery exports to the US.

What is the way out of this uncertainty? Commerce minister Piyush Goyal wants us to consider this as "an opportunity of a lifetime," but, for Indian businesses, the times must seem dire. Diversifying away from the US market into Europe, Africa or the Middle East is an option many industries will explore, but cultivating clients in new markets will not be easy. Moreover, with China facing 125 per cent tariffs on its exports to the US, it will frantically enter new markets and flood existing ones with cheaper goods. So will countries like Vietnam, Indonesia and Japan—posing tough competition for Indian exporters across multiple regions. "The fundamental question is, who bears the cost of the enhanced duty?" asks Vinnie Mehta, director general of the Automotive Component Manufacturers Association. Many of the newer markets, like Africa and the Middle East, are relatively small. However, most industry leaders agree on one aspect: India's growing domestic market—which can provide a cushion for these companies—appears to be the most reliable.

MOST INDUSTRY LEADERS AGREE THAT INDIA'S GROWING DOMESTIC MARKET, WHICH CAN PROVIDE A CUSHION FOR AFFECTED COMPANIES, APPEARS TO BE THE MOST RELIABLE

Others, like the pharmaceutical industry—which has been spared for now—are hoping against hope that any tariff hike, as threatened by Trump, will not exceed 10 per cent (the same rate that India levies on US pharma imports). Anything above that and India's storied generic pharma exports can take a hit, forcing companies to explore newer markets. Industries across the board are also pinning their hopes on the impending bilateral trade agreement with the US, as well as the likelihood of a free trade agreement with the European Union this year. Last but not least, since MSMEs are likely to bear the brunt of the impact, the industry is seeking greater handholding from the government—to help them tap new markets and to provide more capital support that can fire up their efforts. Trade has been terribly disrupted, at least in the short term. It's now up to Indian industry to find the best way out of the crisis and turn it into an opportunity. ■

Graphics by **TANMOY CHAKRABORTY**